Preparation and distribution of notices	12 hours	9 hours[5]	$329 (blended rate for senior compliance examiner and compliance manager)	$2,961 (equal to the internal annual burden X the wage rate)	$2,217[10]
Recordkeeping	1 hour	1 hour	$420 (blended rate for compliance attorney and senior programmer)	$420	$0
Total new annual burden per applicable covered institution		35 hours (equal to the sum of the above three boxes)		$15,906 (equal to the sum of the above three boxes)	$5,137 (equal to the sum of the above two boxes)
Number of applicable covered institutions		x 32,807 covered institutions[11]		x 32,807 covered institutions	16,404[8]
New annual applicable covered institutions aggregate burden		1,148,245 hours		$521,828,142	$84,267,348
Transfer Agents					
Adopting and implementing policies and procedures	75 hours	30 hours[12]	$501 (blended rate for compliance attorney and assistant general counsel)	$15,030 (equal to the internal annual burden X the wage rate)	$2,920[9]
Preparation and distribution of notices	12 hours	9 hours[5]	$329 (blended rate for senior compliance examiner and compliance manager)	$2,961 (equal to the internal annual burden X the wage rate)	$2,217[10]
Recordkeeping	1 hour	1 hour	$420 (blended rate for compliance attorney and senior programmer)	$420	$0

Total new annual burden per transfer agent		40 hours (equal to the sum of the above three boxes)		$18,411 (equal to the sum of the above three boxes)	$5,137 (equal to the sum of the above two boxes)
Number of transfer agents		x 315[13]		x 315	158[8]
New annual transfer agent aggregate burden		12,600		$5,799,465	$811,646
Funding Portals					
Adopting and implementing policies and procedures	60 hours	25 hours[3]	$501 (blended rate for compliance attorney and assistant general counsel)	$12,525 (equal to the internal annual burden X the wage rate)	$2,920[9]
Preparation and distribution of notices	12 hours	9 hours[5]	$329 (blended rate for senior compliance examiner and compliance manager)	$2,961 (equal to the internal annual burden X the wage rate)	$2,217[10]
Recordkeeping	1.5 hours[14]	1.5 hours	$420 (blended rate for compliance attorney and senior programmer)	$630	$0
Total new annual burden per funding portal		35.5 hours (equal to the sum of the above three boxes)		$16,116 (equal to the sum of the above three boxes)	$5,137 (equal to the sum of the above two boxes)
Number of funding portals		x 92		x 92	46[8]
New annual funding portal aggregate burden		3,266		$1,482,672	$236,302
Total Estimated Burdens of the Final Amendments					

Total new annual aggregate burden		1,164,111 hours		$529,110,279	$85,315,296
TOTAL ESTIMATED BURDENS INCLUDING AMENDMENTS					
Current aggregate annual burden estimates		+ 65,760 hours			+ $0
Revised aggregate annual burden estimates		1,229,871 hours		$529,110,279	$85,315,296

Notes:

1. Includes initial burden estimates annualized over a 3-year period.
2. The Commission's estimates of the relevant wage rates are based on the SIFMA Wage Report. The estimated figures are modified by firm size, employee benefits, overhead, and adjusted to account for the effects of inflation.
3. Includes initial burden estimates annualized over a three-year period, plus 5 hours of ongoing annual burden hours. The estimate of 25 hours is based on the following calculation: ((60 initial hours / 3) + 5 hours of additional ongoing burden hours) = 25 hours.
4. This estimated burden is based on the estimated wage rate of $531/hour, for 5 hours, for outside legal services. The Commission's estimates of the relevant wage rates for external time costs, such as outside legal services, takes into account staff experience, a variety of sources including general information websites, and adjustments for inflation.
5. Includes initial burden estimate annualized over a three-year period, plus 5 hours of ongoing annual burden hours. The estimate of 9 hours is based on the following calculation: ((12 initial hours / 3 years) + 5 hours of additional ongoing burden hours) = 9 hours.
6. This estimated burden is based on the estimated wage rate of $531/hour, for 3 hours, for outside legal services and $85/hour, for 5 hours, for a senior general clerk.
7. Total number of covered institutions is calculated as follows: 3,401 broker-dealers other than notice registered broker-dealers + 15,129 investment advisers registered with the Commission + 13,965 investment companies + 335 transfer agents registered with the Commission + 67 transfer agents registered with the Banking Agencies = 32,897 covered institutions.
8. We estimate that 50% of covered institutions will use outside legal services for these collections of information. This estimate takes into account that covered institutions may elect to use outside legal services (along with in-house counsel), based on factors such as budget and the covered institution's standard practices for using outside legal services, as well as personnel availability and expertise.
9. This estimated burden is based on the estimated wage rate of $584/hour, for 5 hours, for outside legal services. The Commission's estimates of the relevant wage rates for external time costs, such as outside legal services, takes into account staff experience, a variety of sources including general information websites, and adjustments for inflation.
10. This estimated burden is based on the estimated wage rate of $584/hour, for 3 hours, for outside legal services and $93/hour, for 5 hours, for a senior general clerk.
11. Total number of applicable covered institutions is calculated as follows: 3,476 broker-dealers other than notice-

registered broker-dealers or funding portals + 15,565 investment advisers registered with the Commission + 13,766 investment companies = 32,807 covered institutions. The burdens for funding portals and transfer agents are calculated separately.

12. Includes initial burden estimates annualized over a three-year period, plus 5 hours of ongoing annual burden hours. The estimate of 30 hours is based on the following calculation: ((75 initial hours / 3) + 5 hours of additional ongoing burden hours) = 30 hours.
13. The number of transfer agents includes 251 transfer agents registered with the Commission + 64 transfer agents registered with the Banking Agencies = 315 transfer agents.
14. Funding portals are not subject to the recordkeeping obligations for brokers found under Rule 17a-4. Instead, they are obligated, pursuant to Rule 404 of Regulation Crowdfunding, to make and preserve all records required to demonstrate their compliance with, among other things, Regulation S-P. While the final amendments do not modify funding portals' recordkeeping requirements to include the same enumerated list of obligations as those applied to brokers under the amendments to Rule 17a-4, funding portals generally should look to make and preserve the same scope of records in connection with demonstrating their compliance with this portion of Regulation S-P. Further, Rule 404 requires funding portals to preserve these records for a longer period of time than brokers are required to preserve records under Rule 17a-4. Due to this longer required period for records preservation, the estimated burden for funding portals is higher than for brokers.

VI. FINAL REGULATORY FLEXIBILITY ACT ANALYSIS

The Regulatory Flexibility Act ("RFA") requires the Commission, in promulgating rules under Section 553 of the Administrative Procedure Act,[1125] to consider the impact of those rules on small entities. We have prepared this Final Regulatory Flexibility Analysis ("FRFA") in accordance with Section 604 of the RFA.[1126] An Initial Regulatory Flexibility Analysis ("IRFA") was prepared in accordance with the RFA and was included in the Proposing Release.[1127]

A. Need for, and Objectives of, the Final Amendments

The purpose of the final amendments is to limit potential harmful impacts to customers by enhancing and modernizing the protection of customer information. Among other things, the amendments update the rule's requirements to address the expanded use of technology and corresponding risks.

1125 5 U.S.C. 553.

1126 5 U.S.C. 604.6.

1127 Proposing Release at section V.

The need for, and objectives of, the final amendments are described in Sections I and II above. We discuss the economic impact and potential alternatives to the amendments in Section IV, and the estimated compliance costs and burdens of the amendments under the PRA in Section V.

B. Significant Issues Raised by Public Comments

In the Proposing Release, the Commission requested comment on any aspect of the IRFA, and particularly on the number of small entities that would be affected by the proposed amendments, the existence or nature of the potential impact of the proposed amendments on small entities discussed in the analysis, how the proposed amendments could further lower the burden on small entities, and how to quantify the impact of the proposed amendments.

One commenter urged the Commission to conduct a more holistic cost-benefit analysis, and in particular consider the disproportionate costs on smaller advisers.[1128] The commenter noted that smaller advisers have been significantly burdened by one-size-fits-all regulations – both in isolation and cumulatively – that effectively require substantial fixed investments in infrastructure, personnel, technology, and operations.[1129] Another commenter stated that the Commission did little analysis about the impact of these proposals on small broker-dealers, competition within the brokerage industry, and whether they could contribute to barriers for new entrants into the markets.[1130] We discuss the cost-benefit analysis and challenges small entities may face above.[1131]

1128 *See* IAA Comment Letter 2.

1129 *See* IAA Comment Letter 1.

1130 *See* ASA Comment Letter.

1131 *See supra* section IV.

Additionally, multiple commenters discussed the burden small entities would face. For instance, several commenters stated that an increased compliance cost for implementing new systems, training employees, and conducting audits, may disproportionately affect smaller firms, inhibiting their ability to compete and grow.[1132] Multiple commenters asserted small covered institutions, who may not have the negotiating power or leverage to demand specific contract provisions from large third-party service providers, would potentially be harmed by the written contract requirement for service providers.[1133] Another commenter noted the outsized impact small broker-dealers face.[1134] However, another commenter noted while small firms may be impacted by increased costs, this should not come at the expense of customer protection, and stated that driving competition towards better protections will ultimately benefit customers and promote a healthier market.[1135]

Commenters proposed multiple alternatives to lower the burden on small entities. One commenter urged the Commission to provide a longer time to transition for smaller advisers.[1136] Additionally, the commenter stated that it has frequently called on the Commission to take steps to tailor its rules to minimize impacts the proposed amendments would have on smaller advisers, for example through preserving a flexible, risk- and principles-based approach, excluding or exempting smaller advisers from specific requirements where the burdens on those advisers outweigh the benefits, and tiering and staggering compliance timetables.[1137] Likewise, another commenter

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1132 *See* Grey Comment Letter, Robinson Comment Letter, and Scouten Comment Letter; *see also* ASA Comment Letter.

1133 *See* IAA Comment Letter 2; *see also* STA Comment Letter 2 and Computershare Comment Letter.

1134 *See* FSI Comment Letter.

1135 *See* Wohlfahrt Comment Letter.

1136 *See* IAA Comment Letter 1.

1137 *See* IAA Comment Letter 2; *see also* STA Comment Letter suggesting exempting transfer agents that do not maintain a threshold number of shareholder accounts. *See supra* section IV.E for further discussion of exemption based upon size.

proposed a longer implementation period for smaller broker-dealers and investments advisers to allow these firms to benefit from implementation for larger industry participants.[1138]

We expect the benefits and the costs of the final amendments to vary across covered institutions.[1139] For example, because smaller covered institutions are less likely to have an existing incident response program than larger covered institutions, some small entities may be more likely to face greater costs but also expect greater benefits complying with the final amendments, because they must adopt and implement new procedures. Creating new programs will likely cost more, but the new programs would result in improved efficacy in notifying customers and improve the manner incidents are handled. Smaller entities may have less negotiating power than larger entities, so requiring contracts with service providers could potentially be more detrimental to them than other entities. Additionally, smaller covered institutions are less likely to have a national presence, so small entities whose customers are concentrated in states with less informative customer notification laws are likely to face higher costs to comply with the final amendments. These costs and benefits may have an effect on competition for smaller entities.[1140]

We have revised the final amendments in several ways to mitigate potential compliance costs that small entities may face, as raised by commenters. As previously discussed, the changes made to the service provider provisions of the amendments requiring that the covered institution's policies and procedures are reasonably designed to oversee, monitor, and conduct due diligence on service providers instead of requiring written contracts between covered institutions and their service providers, and requiring that the covered institution's policies and

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1138 *See* FSI Comment Letter.

1139 *See supra* section IV.

1140 *See supra* section IV.E.

procedures be reasonably designed to ensure service providers take appropriate measures to notify covered institutions of an applicable breach in security within 72 hours instead of 48 hours) may reduce some costs relative to the proposal and facilitate their implementation, especially for smaller covered institutions.[1141] For example, it could potentially reduce compliance costs by reducing the number of notices being sent (e.g., if the covered institution is able to determine that a notice is not needed or if it is able to determine with more precision which individuals must be notified).[1142] Additionally, we are now adopting a longer compliance period of 24 months for smaller covered institutions, who are less likely to already have policies and procedures broadly consistent with the final amendments.

Moreover, the final amendments still maintain that the incident response program must include policies and procedures containing certain general elements but will not prescribe specific steps a covered institution must undertake when carrying out incident response activities, thereby enabling covered institutions to create policies and procedures best suited to their particular circumstances, including size. This design balances the necessity of maintaining general elements to achieve the investor protection objectives the amendments are designed to achieve, while still providing covered institutions the ability to tailor policies to their individual needs. We will not exempt small entities from any specific requirements, because entities of all sizes are vulnerable to the types of data security breach incidents we are trying to address, and therefore, no entity should be exempted from requirements, regardless of size.[1143]

Additionally, one commenter argued that the Commission does not accurately analyze the impact of its regulations on small advisers as required under the RFA because according to the

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1141 *See supra* section IV.

1142 *See supra* section IV.

1143 *See infra* section VI.E for further discussion of exemption based upon size.

commenter, virtually no SEC-registered advisers fall under the "asset-based" definition of small adviser adopted by the Commission.[1144] However, the commenter believes that the vast majority of advisers are small businesses.[1145] The commenter stated that the Commission adopted Rule 0-7 under the Advisers Act defining "small business" or "small organization" for purposes of treatment as a "small entity" under the RFA as including an investment adviser that has less than $25 million in assets under management, but with few exceptions, advisers are not permitted to register with the Commission unless they have at least $100 million in assets under management.[1146] The commenter argued that this makes any analysis the Commission does regarding the impact on smaller advisers virtually meaningless.[1147] As discussed below, we estimate that approximately 872 broker-dealers[1148], 132 transfer agents, 81 investment companies, and 579 registered investment advisers may be considered small entities under the Regulatory Flexibility Act.[1149] The Commission takes seriously the potential impact of any new rule on these advisers who meet this definition and on other smaller advisers that do not meet the definition of small entity under the Regulatory Flexibility Act, as considered and discussed throughout this release.

C. Small Entities Subject to Final Amendments

The final amendments to Regulation S-P will affect brokers, dealers, registered investment advisers, investment companies, and transfer agents, including entities that are considered to be a small business or small organization (collectively, "small entity") for purposes

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1144 *See* IAA Comment Letter 2.

1145 *See* IAA Comment Letter 2.

1146 *See* IAA Comment Letter 2.

1147 *See* IAA Comment Letter 2.

1148 This 872 broker-dealers includes 89 funding portals.

1149 *See infra* section VI.C.

of the RFA. For purposes of the RFA, under the Exchange Act a broker or dealer is a small entity if it: (i) had total capital of less than $500,000 on the date in its prior fiscal year as of which its audited financial statements were prepared or, if not required to file audited financial statements, on the last business day of its prior fiscal year; and (ii) is not affiliated with any person that is not a small entity.[1150] A transfer agent is a small entity if it: (i) received less than 500 items for transfer and less than 500 items for processing during the preceding six months; (ii) transferred items only of issuers that are small entities; (iii) maintained master shareholder files that in the aggregate contained less than 1,000 shareholder accounts or was the named transfer agent for less than 1,000 shareholder accounts at all times during the preceding fiscal year; and (iv) is not affiliated with any person that is not a small entity.[1151] Under the Investment Company Act, investment companies are considered small entities if they, together with other funds in the same group of related funds, have net assets of $50 million or less as of the end of its most recent fiscal year.[1152] Under the Investment Advisers Act, a small entity is an investment adviser that: (i) manages less than $25 million in assets; (ii) has total assets of less than $5 million on the last day of its most recent fiscal year; and (iii) does not control, is not controlled by, and is not under common control with another investment adviser that manages $25 million or more in assets, or any person that has had total assets of $5 million or more on the last day of the most recent fiscal year.[1153]

1150 17 CFR 240.0-10. Funding portals, who are considered "brokers" for purposes of this release unless otherwise noted, are also included in this definition. *See* 17 CFR 227.403(b); *See also supra* footnote 5.

1151 *Id.*

1152 17 CFR 270.0-10.

1153 17 CFR 275.0-7.